

Tax estimation guide for grad fellows with complex compensation — Action Checklist

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IDENTIFY YOUR INCOME SOURCES

- ☐ **Identify Award Letter Details:** Find your most recent funding offer letter and locate the specific language describing your stipend, tuition waiver, and any service requirements that determine tax treatment.
- ☐ **Extract Exact Dollar Amounts:** Write down the cash stipend amount and the assigned dollar value of your tuition waiver from your official university funding documents for use in your tax calculation.
- ☐ **Confirm Funding Classification:** Contact your graduate program coordinator or payroll office and ask exactly how your funding is categorized, whether as fellowship, scholarship, or wages, then record the answer.
- ☐ **Track All Income Streams:** List every source of money you receive including stipends, research assistantships, scholarships, and any other compensation, because each may be taxed differently.

CALCULATE YOUR TAXABLE AMOUNT

- ☐ **Identify Taxable vs. Non-Taxable Portions:** Determine which parts of your funding package qualify as taxable wages and which may be excluded as qualified education benefits based on your service requirements.
- ☐ **Calculate Your Taxable Income:** Add together your taxable income streams and apply the appropriate federal tax brackets for your filing status to estimate what you owe before deductions.
- ☐ **Know Which Tax Forms to Expect:** Determine whether you should receive a W-2 for wages, a 1098-T for tuition payments, or a 1099-NEC for contractor work so you can verify all documents arrive.
- ☐ **Understand Employment Tax Implications:** Recognize that wages reported on a W-2 are subject to Social Security and Medicare taxes in addition to income tax, while fellowship income may not be.

PREPARE FOR TAX TIME

- ☐ **Determine Quarterly Payment Requirements:** Check whether you need to make quarterly estimated tax payments if your withholding will not cover your expected tax liability to avoid penalties.
 - ☐ **Set Aside Money for Taxes:** Create a dedicated savings account and regularly deposit a percentage of each stipend, typically 15-25 percent, to cover your estimated tax bill when filing.
 - ☐ **Decide on Professional Help:** Assess whether your tax situation is straightforward enough to file yourself using software or if your multiple income streams warrant paying a preparer who understands grad student finances.
 - ☐ **Keep Organized Records Year-Round:** Save all funding letters, pay stubs, and tax documents in one accessible folder throughout the year so you have everything ready when filing season arrives.
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